

this trade. I have made a lot of money. It is going down to 1.00. I should increase my position. I had drunk the Kool-Aid along with everyone else. As I'm looking at the screen, the euro suddenly trades back up to 1.21. That should not have happened. The ex-market maker part of my brain starts thinking, *Everyone has the trade on. Everyone believes. Everyone who was long euro is now out. There is still a trade surplus. Wouldn't it just be a disaster for everyone if the euro suddenly went back up again?*

Was there any news that triggered the rebound in the euro?

No, it was just the price action combined with the consensus—that was enough to get me out. I like to know what the consensus view is because you really do make the most money when the consensus shifts.

How do you get the consensus?

It is not easy to get. If you ask people their position, they're not exactly going to tell you, are they? My favorite question to ask people is, "What is your opinion?" The minute you ask people for their opinion, they feel important. If I ask a hedge fund manager for his opinion on where the 30-year bond will be trading in three months' time, and he starts talking about factors that will push interest rates up, I know that he is short bonds because the correlation between his three-month forecast and his current position is going to be 100 percent. There is no doubt about that. If he was long, he would have picked some plausible story about why rates should go down. It's amazing how much information you can get about people's positions by simply asking them about their opinions.

Have there been any situations where the market abruptly reversed direction and you were positioned the wrong way in meaningful size? If so, how did you handle it?

I once went on a trip with ARK, which is a charity I sponsor, to help design a feeding program for children, which has turned out to be a great success, reaching 60,000 children. At the time, I had a massive long position in European interest rate futures. While I was on the flight to South Africa, the European Central Bank (ECB) hiked rates very unexpectedly. It was a massive hit. It was probably the only time I got an ECB call wrong. As soon as I landed, I got a phone call from an assistant